ACWA Power: Project Finance at Scale — Funding a 70 Billion SAR Pipeline Without Drowning in Debt

Key Facts

Company	ACWA Power (أكوا باور)
Industry	Power Generation, Renewables & Water Desalination
Founded	2004 — Riyadh, Saudi Arabia
Listing	Tadawul (ticker 2082) — IPO 2021
Key Figures	SAR 70 billion of financial closings for 15 projects in a single year; one of the world's largest private water desalination portfolios; backed by the Public Investment Fund (PIF)
Case Focus	Project finance — how to fund massive, capital-intensive growth without letting leverage consume the balance sheet
Teaching Objective	Understand the mechanics of non-recourse project finance, off-take agreements, and how long-term contracted cash flows support high leverage safely

Executive Summary

Power and water infrastructure is among the most capital-intensive businesses on earth. A single utility-scale project can require billions of dollars before it produces a single megawatt or a single liter of desalinated water. The companies that succeed are not necessarily the best engineers — they are the best financiers. ACWA Power has mastered the art of project finance at a scale few companies globally have matched, closing SAR 70 billion of financing for 15 projects in a single year.

The core of ACWA Power's model is the project finance structure. Each project is a legally ring-fenced special-purpose vehicle (SPV) with its own debt, secured not by the parent company's balance sheet but by the project's future cash flows. Those cash flows are themselves guaranteed by long-term power purchase agreements (PPAs) and water purchase agreements with governments and offtakers. This "non-recourse" structure allows ACWA Power to build enormous capacity while keeping leverage off its own balance sheet — the debt is the project's, not the company's.

The strategic challenge is that this model, while powerful, is not without limits. Non-recourse debt still requires substantial equity contributions. Currency, regulatory, and construction risks can delay or derail projects. And the recent Saudi and regional push into renewables — aligned with Vision 2030 and the Kingdom's net-zero ambitions — demands ever-faster execution. This case examines how ACWA Power funds hyper-growth without being swallowed by it, and what happens when the discipline of project finance meets the urgency of a national energy transition.

Background and History

Founded in 2004, ACWA Power grew from a regional developer into a global leader in power generation and water desalination. Its early advantage was timing: Saudi Arabia and the wider Gulf needed reliable, cost-efficient power and water at a time when governments were eager to shift capital-intensive infrastructure off their own balance sheets through public-private partnerships. ACWA Power became the partner of choice, repeatedly winning tenders for independent power and water projects.

The 2021 IPO on Tadawul was a landmark, valuing the company at over $4 billion and attracting strong international interest. The Public Investment Fund's backing gave it both credibility and access to capital, while its record-low solar tariffs — some of the cheapest electricity ever contracted — demonstrated genuine operational and financial efficiency. The company then expanded aggressively into Uzbekistan, Egypt, Azerbaijan, and beyond, becoming a flagship of Saudi Arabia's economic diversification abroad.

The financial engineering behind this expansion is the heart of the case. ACWA Power's ability to close SAR 70 billion of financing for 15 projects in one year reflects a repeatable, industrialized approach to project finance: standardized contracts, disciplined capital structure, and a deep bench of relationship lenders. The question is whether that discipline can be maintained as scale and speed increase.

Layer	What It Is	Risk It Addresses
SPV (ring-fenced)	Each project is a separate legal entity	Contagion / parent default
Non-recourse debt	Lenders are repaid from project cash flow only	Parent balance-sheet leverage
PPA / WPA	Long-term purchase agreements	Revenue / demand uncertainty
Equity (often with partners)	Sponsor + co-investor capital	Lender confidence

Discussion Questions

1. Project Finance Mechanics

- Why do lenders accept non-recourse debt — and what gives them comfort instead of a parent guarantee?

- What is the difference between "the company's debt" and "the project's debt" in practice, and why does it matter for growth capacity?

2. Leverage and Discipline

- Under what conditions does high leverage become dangerous, even in project finance?
- How do currency risk, construction delays, and offtaker credit risk threaten the model?

3. Strategy

- Should ACWA Power prioritize growth (more projects) or balance-sheet strength (more equity)?
- How does the PIF backing change ACWA Power's risk appetite versus an independent developer?